

Ethical Sourcing and Supplier Auditing

Group 1

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Introduction to SCM: 33:799:301: Section 2



What is Ethical Sourcing?





Ethical sourcing is the practice of acquiring goods and services in a sustainable and responsible way in order to ensure fair labor practices, safe working environments, and minimized environmental impact throughout the supply chain

- Suppliers meet environmental, ethical, and social standards



Examples of Ethical Sourcing

**Suppliers with
low levels of
carbon
emissions**

**Sustainable
materials**



**Factories
that have
offer fair
wages**

**Farms that
ban child
labor**

What is Supplier Auditing?



Supplier auditing is the evaluation of a vendor's facilities, operations, and processes in order to ensure compliance with quality standards, contractual requirements, and industry regulations. This process is also used to identify risks and areas for improvement in the supply chain.

- Can be on-site visits, interviews, or document reviews (announced or unannounced)



What do Auditors Look for?

**Work health &
safety**

**Environmental
practices**

**No child or
forced labor**



**Fair wages &
reasonable
working
hours**

**Compliance
with
certification**

challenges in Ethical Sourcing & Auditing Practice





Cultural Differences

- Nestlé & Cocoa
 - Ivory Coast & Ghana
 - Illegal enslavement of children on cocoa farms in their supply chains
 - Kids exposed to harmful tools and chemicals

“8 children who claim they were used as slave labour...launched legal action against the world’s biggest chocolate companies”
(The Guardian)



Why cultural?

- West African communities → common for children to help on family farms
- Poverty
- Weak government enforcement
- Locally...tolerated, globally...child exploitation
- Nestlé was accused of turning a blind eye
- Launched the Nestlé Cocoa Plan; improves farmer income, monitor child labor, push for more ethical sourcing



Why a challenge in ethical sourcing?

- Cocoa supply chains consist of tiny farms, hidden from audits
- Cultural norms lead to ethical discussions
- Enforcing ethical standards across dispersed network

Challenges continued...

Transparency

Keurig K-cups

- claimed to be “recyclable”
- The reality → most recycling facilities couldn’t process them
- Portrayed their product as environmentally friendly
- Keurig had to pay \$1.5 million in penalties to the U.S. Securities and Exchange Commission
 - Keurig mislead the public, affecting not just consumers but investors as well

Weak auditing + false claims (greenwashing) can lead to consumer deception and legal risk

Andrea Garcia

Why a challenge in auditing?

Keurig is the brand **but** this example still **connects to supply chain transparency** as Keurig didn’t take the time to audit their materials or verify if the k-cups were recyclable

- Transparency gap



Tools and Frameworks for Ethical Sourcing





SA8000 Certification

Established by Social
Accountability International (SAI)

Global standard for decent
working conditions

Covers child labor, forced labor,
health & safety, fair wages,
discrimination, and disciplinary
practices

To obtain, you must do an online
self-assessment, and go through
an audit



Fair Trade Certification

Ensures fair prices for
producers in developing
countries through
“Fairtrade Minimum Price”
which ensures a stable
income even if market
prices drop

Promotes sustainable
farming & better working
conditions

Must undergo audit in
order to obtain
certification



B Corp Certification

Rates companies on social
& environmental
performance

Encourages transparency
and accountability

Must take “B Impact
Assessment” and go
through intense
verification process in
order to obtain

Jake Tong & Samaira Singh

Implementing Ethical Sourcing Programs



Greenwashing

Greenwashing is the act of misleading consumers by presenting a company or product as more environmentally friendly or ethical than it actually is.

This practice often occurs through marketing or false advertisement rather than true action.



Francesca Denunzio

Patagonia is an example of a company that practices true partnership and shared goals

This company commits to sourcing their organic and recycled materials, while maintaining direct, long lasting relationships with suppliers.

Patagonia emphasizes common goals with its partners such as:

- Reducing environmental harm
- Improving worker well-being
- Pushing the industry toward higher ethical standards

Unlike surface-level initiatives, this approach is built on true partnership that lasts, as oppose to short-term marketing wins.



Ben & Jerry's

Ben and Jerry's has many initiatives and common goals for its ethics: Ben and Jerry's tries to build and maintain a strong relationship with their supplies which is a key part of sourcing in the SCOR Model.



Living Income Accelerator

- a. Collaborate with Fairtrade to ensure their ingredient makers have a good income and live comfortably
- b. "...we became the first ice cream company to pay a living income price for the cocoa used in our chocolate ice cream base mix"
- c. Ben and Jerry's pays suppliers additional to the Fairtrade collaboration

Keeping The Herd Healthy

- a. Global Animal Partnership: Assess every farm and their cows
- b. Farms must pass "independent, industry-leading, third-party standards" to prove their cows are healthy
- c. We can see there is no exploitation of farmers or their cows and ingredients



What happened to Ben and Jerry's?

- Known to talk about social issues and fight for progressive rights
- Unilever bought Ben and Jerry's in 2000 and allowed the company to work without any intervention
- Unfortunately, that was not the case
- Conflicts on social issues between co-owners and Unilever spilled into public eye
- Political issues: Co-owners wanted to remove Ben and Jerry's from Israel, but Unilever overruled and Jerry quit!
- This proves how ethically resourceful and socially responsible Ben and Jerry's strived/strive to be



Sustainable Supplier Relationships



Building solid relationships with reliable supplies is key to sourcing

- Having someone you can trust to complete orders without issue will prevent headache later down the line

Companies embrace external collaboration

- In the 80s incorporating partners into planning activities became common practice

Foundations of SCM: Supply management elements

- Purchasing management, strategic sourcing, supplier relationship management

Building Supplier Relationships



It is imperative that organizations have strong, collaborative relationships with suppliers

Prioritize data-driven decision making

Don't just go for the lowest price, analyze historical data

Promote trust and collaboration

Regular communication, sharing relevant data, feedback loop

Be a good customer

Timely payments, clear and concise, collab beyond prices, recognize high performance within suppliers

Invest Long-Term

Support and reward responsible suppliers

Transparency

Be sure to share expectations and practices openly

Nicholas Del Rosso



Thank

You!

Ready for Q&A :)



Resources

- <https://www.fairtradecertified.org/> (slide 13)
- <https://www.ascm.org/ascm-insights/simple-ways-to-build-stronger-supplier-partnerships/> (slide 20)
- <https://www.npr.org/2024/09/12/nx-s1-5109902/keurig-kcup-pods-recycle-sec-fine> (slide 7)
- <https://www.theguardian.com/global-development/2021/feb/12/mars-nestle-and-hershey-to-face-lan-dmark-child-slavery-lawsuit-in-us> (slide 6)
- <https://www.un.org/en/climatechange/science/climate-issues/greenwashing> (slide 12)
- <https://www.benjerry.com/values/how-we-do-business/cocoa-commitment> (slide 17)
- <https://www.benjerry.com/values/how-we-do-business/caring-dairy> (slide 17)
- <https://www.cnn.com/2025/09/17/food/b-and-jerry-interview-departure> (slide 18)
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